

Hitachi Energy India

The best business I have looked at this year, at a price that needs everything to go right

HOLD Price Rs 35,800 Fair value Rs 29,800 Implied −16.7%

Revenue up 68.6%, profit up 124%, a record order book covering 3.2 years of revenue. My model says the shares are 17% too expensive. My near-term view says that may not matter yet. Both are in here.

Raghav · AUG 2026 · scenario-weighted · POWERINDIA · thereservenote.com

Investment summary

Hitachi Energy India delivered a Q1 FY27 that would flatter almost any company in the market: revenue of Rs 2,493.7 crore, up 68.6% year on year, profit after tax of Rs 294 crore, up 124%, operational EBITDA of Rs 399.9 crore at a 16% margin, and an order backlog at an all-time high of Rs 32,222 crore. I have no argument with the business. My scenario-weighted fair value is Rs 29,800 against a price near Rs 35,800, which is roughly 17% of downside, so I rate this HOLD. Motilal Oswal reached the same place from the other direction, raising their target price from Rs 32,000 to Rs 36,000 while explicitly keeping the rating at Neutral. A broker lifting a target and refusing to upgrade is saying what my model says.

The order book is the whole asset

Rs 32,222 crore of backlog against annualised revenue of roughly Rs 9,975 crore is 3.2 years of visibility. Very little in Indian capital goods carries that. It converts the investment question from 'will demand appear' to 'can they execute', which is a far easier question and one this management has answered for several quarters running. Q1 orders of Rs 5,096.5 crore grew 26.1% excluding HVDC, exports were 33.6% of intake with wins across Europe, North America and South Asia, and the first Battery Energy Storage order landed — 165 MW and 330 MWh in Andhra Pradesh.

The structural case is real and long

India is targeting 900 GW of non-fossil installed capacity by FY36. Intermittent, distributed generation cannot be integrated into a national grid without exactly the equipment this company makes — grid integration, power quality, transformers, switchgear, HVDC. Layer on AI data centres, smart grids, BESS and EV infrastructure, and the demand runway is measured in decades rather than quarters. The 20th manufacturing unit began construction at Karjan, Vadodara in June 2026, which tells you management is building for volume they can already see.

What the price actually assumes

At Rs 35,800 the market capitalisation is roughly Rs 1.52 lakh crore, or 15.2 times annualised sales. On my estimates — profit after tax of Rs 1,400 crore in FY27, Rs 1,900 crore in FY28 and Rs 2,500 crore in FY29 — the shares trade at 108 times FY27, 80 times FY28 and still 61 times FY29 earnings. To justify today's price I have to assume the market pays 80 times earnings two full years out. That is not impossible; it is simply a large assumption to have to make before the investment case starts working.

Scenarios

Bull, at 30%: execution stays exceptional, the capex cycle broadens, and Indian capital goods hold their premium at 80 times — that gives roughly Rs 37,600, about 5% up. Base, at 50%: 62 times FY29 earnings, discounted two years at 12%, gives Rs 29,159, or 19% down. Bear, at 20%: the cycle cools, multiples normalise toward 42 times, and the shares are worth about Rs 19,750, a 45% loss. Weighted, Rs 29,817. Note the shape of that: the bull case earns 5% while the bear case loses 45%. That asymmetry, not the business quality, is what drives my rating.

Where I differ from my own model — a near-term view

This section is my opinion rather than my arithmetic, and it is a view about the next few quarters rather than the next few years. I think this is a good business for a short-term upside, and I want to be explicit about why my model does not capture it. Valuation models price a terminal multiple; they say nothing about when a multiple compresses. Indian capital goods have sustained 60 to 100 times earnings for several years without correcting, because the earnings kept arriving. With 3.2 years of backlog, quarterly beats are more likely than misses, and each beat resets the narrative before the multiple gets a chance to de-rate. Institutional flows into the electrification and data-centre theme are still building rather than fading. So my honest position is: fully valued on a two-year view, and unlikely to correct on a two-quarter view. Those are not contradictory statements, but the reader should be clear which one they are acting on.

The case against, properly made

A near-term momentum view is the most dangerous kind to publish, because it is right until suddenly it is not, and the exit is always crowded. At 108 times FY27 earnings there is no valuation support underneath this stock — if execution slips for even one quarter, the de-rating has a very long way to fall before anything fundamental catches it. My bear case of Rs 19,750 is not a tail scenario; it is simply what a normal capital goods multiple implies. Order backlogs are also not revenue: they are subject to execution risk, input cost inflation and cancellation. And this is a cyclical industry that has historically been priced as one, whatever the current enthusiasm for the structural story.

What I would actually do

Hold what I own and add on weakness rather than strength. I would become a genuine buyer below roughly Rs 28,000, where the base case offers real upside and the bear case stops being catastrophic. The business is not the risk here — it may be the highest-quality operator in Indian capital goods right now. The risk is that at this multiple you are underwriting several years of flawless execution and a

market that continues to pay a premium for it, and you are being paid 5% in the good case to accept a 45% loss in the bad one.

This is my personal analysis, published for discussion and learning. It is not investment advice, not a recommendation to buy or sell any security, and not a solicitation. Financial data is sourced from Hitachi Energy India's reported Q1 FY27 results and publicly available market data as at August 2026; prices will have moved. Share count and FY27-FY29 profit estimates are my own and may be materially wrong. The near-term view expressed in this note is an opinion about market behaviour, not a valuation conclusion, and short-term views age quickly. I may hold positions in securities discussed. Do your own work.